

Guidelines on Money Laundering and Terrorist Financing Risk Factors

Simplified and enhanced customer due diligence, sectoral factors and the European risk methodology

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This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (EBA Guidelines on ML/TF risk factors and the ECB supervisory approach, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Application

These guidelines address credit and financial institutions supervised in the Union. They specify the factors institutions should consider when assessing risk associated with a business relationship or an occasional transaction, and how to adjust the extent of due diligence.

2. Risk factor taxonomy

Category	Lower risk indicators	Higher risk indicators
Customer	Listed company with disclosure duties; public authority; regulated financial institution in an equivalent regime	Complex ownership without economic rationale; cash-intensive activity; PEP status; adverse media on financial crime
Product / service	Life insurance with low premium; regulated pension; consumer credit with defined repayment	Private banking; bearer instruments; trade finance with related parties; correspondent relationships; anonymity-enhancing services
Channel	Face-to-face onboarding; qualified electronic identification	Non face-to-face without eIDAS-level assurance; introduction by unregulated intermediary; use of nominee
Geography	EEA member state with effective supervision	Jurisdiction with strategic deficiencies; identified secrecy regime; conflict or high corruption index

3. Simplified due diligence

Simplified measures may be applied only where the institution has established that the relationship presents a lower degree of risk, and never where there is a suspicion of money laundering. Simplification may adjust the timing, quantity or quality of verification, but the obligation to monitor is never removed.

- Verification may be deferred until the relationship is established, provided funds cannot be transferred out before verification completes.
- The frequency of periodic review may be extended to a maximum of 60 months.
- Source of funds enquiries may rely on the transactional profile rather than documentary evidence, for amounts below 15,000 EUR per rolling year.

4. Enhanced due diligence

Enhanced measures are mandatory for relationships involving a high-risk third country, for cross-border correspondent relationships with a respondent outside the Union, and for any relationship the institution rates high under its own methodology.

- Obtain additional information on the customer, the beneficial owner, and the intended nature of the relationship.
- Establish source of funds and source of wealth with documentary corroboration.
- Obtain senior management approval for establishing or continuing the relationship.
- Increase the frequency and depth of transaction monitoring; the review interval shall not exceed 12 months.
- Where a payment involves a high-risk third country, require the first payment to be carried out through an account in the customer's name with a credit institution subject to comparable standards.

5. Transfer of funds and the information travel rule

Payment service providers of the payer shall ensure transfers are accompanied by the payer name, payment account number and address or official identifier. Providers of the payee shall implement effective procedures to detect missing fields, including post-execution monitoring where real-time detection is not feasible.

Transfers of crypto-assets are treated on the same basis: the originating provider transmits originator and beneficiary information to the beneficiary provider. Transfers to self-hosted addresses above 1,000 EUR require verification that the address is controlled by the customer.

6. Sectoral escalation matrix

Scenario	Threshold	Owner	Deadline
Unexplained credit inconsistent with declared income	> 10,000 EUR	First line analyst	5 business days
Aggregated cash deposits	> 10,000 EUR / 30 days	First line analyst	5 business days
PEP relationship new inflow	> 25,000 EUR	Compliance officer	3 business days
High-risk third country counterparty	Any amount	Compliance officer	48 hours

Scenario	Threshold	Owner	Deadline
Sanctions or asset freeze potential match	Any amount	Sanctions desk	4 hours